

TECHNICAL ASSESSMENT NOTE

M-Files Document Management System

Platform Evaluation | Cost Analysis | Annex A Compliance Assessment

Document Type	Technical Assessment Note - Platform Evaluation
Subject	M-Files Document Management System: Fitness for Purpose, Cost Analysis, and Annex A Compliance Assessment
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1. Purpose

This Technical Assessment Note is prepared by the Innovation and Policy Development Unit (IPDU) in response to a proposal circulated by the HRMIS Unit (May 2026) recommending M-Files as a platform for PSC Records and Archives DMS, Commission Meeting and Decision Tracking, and Compliance Case Management.

This note assesses M-Files against IPDU's endorsed technology framework (Annex A - IPDU Position Paper: Build from Scratch Using Open Source Frameworks, April 2026) and IPDU-SOP-001. It evaluates fitness for purpose across each proposed use case, provides a cost comparison against the open-source build-from-scratch approach, identifies open source alternatives, and makes specific recommendations. It does not conclude that M-Files should be rejected outright - it concludes that the correct process must be followed before any adoption decision is made.

2. What M-Files Is - and What It Is Not

M-Files is a proprietary, metadata-driven Document Management System (DMS) developed by M-Files Corporation (Finland), distributed in the Pacific by DocSmart Solutions (Auckland, New Zealand) - an M-Files Premier Elite Partner since 2012 and four-time M-Files APAC Partner of the Year. M-Files is used by over 5,000 organisations in 100+ countries and is consistently recognised by Gartner and Nucleus Research as a leading ECM platform.

M-Files' core competency is document and content management - storing, organising, searching, versioning, and governing documents using a metadata-first architecture rather than traditional folders. It includes built-in workflow automation, OCR, AI-assisted metadata extraction (M-Files Aino), audit trails, version control, and retention schedule management.

M-Files is not a purpose-built statutory workflow system. Its workflow engine supports document-centric approval and routing processes. It was not designed to model multi-actor, branching statutory compliance case families or government form submission tracking pipelines with statutory SLA obligations. These can be approximated through custom configuration - but at significant consultant cost, with no guarantee of statutory accuracy, and with ongoing dependency on the vendor for maintenance.

M-Files is currently deployed at the Ministry of Lands and Natural Resources (MoLNR) for land records digitisation and workflow. This is a document filing and archiving use case - exactly what M-Files was built for.

3. Fitness for Purpose - Use Case Assessment

The table below assesses M-Files' default-feature fit for each proposed PSC use case and whether heavy customisation by a paid consultant would be required.

Use Case	M-Files Default Fit	Heavy Customisation Required?	IPDU Recommendation
Records & Archives DMS (digitisation, OCR, metadata, search, retention)	HIGH - core M-Files use case. MoLNR proof of concept in Pacific context.	No - default features cover this use case.	Assess under Annex A. Open source alternatives exist but M-Files has proven Pacific deployment. Warrants formal evaluation.
Commission Decision App (form tracking, 21-day SLA, workflow, audit trail, ministry portal)	LOW - M-Files is a DMS. PSC's statutory form pipeline is not a document filing use case.	YES - significant. PSC's 6-stage statutory pipeline, reference numbers, SLA clock, and role-based ministry portal all require custom configuration by a paid consultant.	DO NOT REDIRECT. Already scoped as open-source build. No Annex A exemption case has been made.
Compliance Case Management (6 workflow families, PSDB, MDC, investigation panels, statutory SLAs)	LOW - M-Files workflow supports linear document approvals, not multi-actor branching statutory case families.	YES - very heavy. Six distinct case families, each with different stages, actors, SLAs, and outcomes. Would require extensive consultant-built configuration with no guarantee of statutory accuracy.	DO NOT REDIRECT. Already scoped as open-source build. Same Annex A position applies.
Cross-agency HR Workflow (appraisals, claims, disciplinary routing)	MEDIUM - DocSmart HR Vault module is a starting point but requires adaptation to PSC's statutory processes.	MEDIUM - PSC-specific statutory steps (PSDB referral, Commission confirmation) require custom design.	OUT OF SCOPE. HRMIS project owns this space. Revisit post-HRMIS decision.

4. Cost Analysis

4.1 M-Files Pricing Model

M-Files does not publish standard pricing publicly. The following figures are based on the DocSmart presentation attached to Jack Philip's email and on publicly available market data from multiple independent sources.

- Named user licence: VT 4,703 per user per month (NZD \$67.50 at 1 NZD = VT 69.67) - MoLNR confirmed rate, inclusive of 10% volume discount, invoiced annually in advance

- Market range: independent sources cite approximately VT 2,700–VT 4,100 per user per month for named licences (based on USD \$39–\$60 market range at prevailing rate) depending on tier and region
- Implementation / consultant fees: VT 114,956 per consultant day (or VT 104,505 if paid in advance) - based on DocSmart confirmed rate
- Heavy customisation estimate: industry standard for complex government workflow in M-Files is 40–80 consultant days for a system of the Commission Decision App or CCMS scope - equivalent to VT 4.60M–VT 9.20M in consultant fees alone
- Cloud storage: 520GB included at MoLNR's subscription level; additional storage purchasable at cost
- On-premise hosting: possible but requires separate server infrastructure and DCDT provisioning - adds cost and complexity beyond the cloud default
- Annual price increases: M-Files subscription costs are subject to annual vendor-determined price adjustments - not fixed

4.2 Cost Comparison - M-Files vs Open Source Build

Three scenarios are compared: M-Files for Records DMS only (appropriate use case, default features); M-Files extended to Commission Decision App and CCMS (requires heavy customisation); and the open-source build-from-scratch approach already scoped by IPDU for all three systems. All M-Files figures are estimates based on confirmed MoLNR rates.

Cost Item	M-Files (Records DMS only)	M-Files (+ Comm. App + CCMS)	Open Source Build (all 3 systems)	Notes
Annual licence fees	~VT 1,693,000/yr (30 users x VT 4,703 x 12)	~VT 2,822,000–VT 4,232,000/yr (50–75 users x VT 4,703 x 12)	NIL	MoLNR confirmed rate: VT 4,703/user/month (NZD \$67.50, 10% discount included). Invoiced annually in advance.
Recurring licence cost (Year 2 onward, indefinitely)	~VT 1,693,000/yr	~VT 2,822,000–VT 4,232,000/yr	NIL	Increases as users are added. No licence exit without data migration cost.
Implementation / consultant fees	~VT 1,150,000–VT 2,299,000 (10–20 days x VT 114,956/day)	~VT 4,598,000–VT 9,196,000 (40–80 days x VT 114,956/day for heavy customisation)	NIL (built in-house by IPDU)	DocSmart rate: VT 114,956/consultant day (or VT 104,505 if paid in advance). Heavy customisation is consultant-dependent with ongoing change fees.
Server / infrastructure	Cloud-hosted on Azure by default. Data leaves Vanuatu without special arrangement.	Same - all PSC data offshore by default.	Existing DCDT-managed VM. No additional cost.	On-premise M-Files deployment is possible but requires additional server provisioning and DCDT management overhead.

Customisation lock-in risk	LOW (Records DMS uses default features - no custom workflow needed)	HIGH - custom workflows built by DocSmart are proprietary configurations. Future changes require DocSmart re-engagement at VT 114,956/day.	NONE - IPDU owns the code. Any trained developer can modify it.	This is the structural dependency Annex A was designed to prevent.
5-year total cost of ownership (licence + implementation + support estimate)	~VT 9,614,000–VT 11,496,000	~VT 18,811,000–VT 30,446,000	~VT 0–VT 1,045,000	M-Files figures are estimates based on MoLNR confirmed rates. Actual PSC costs require a formal DocSmart scope.

Note: At the current exchange rate (1 NZD = VT 69.67, May 2026), the 5-year total cost of ownership for M-Files in the extended scenario is VT 18,811,000–VT 30,446,000 in recurring foreign vendor expenditure, payable indefinitely for as long as PSC uses the system. All VUV figures are indicative and subject to exchange rate movement.

5. Annex A Compliance Assessment

IPDU's Position Paper: Build from Scratch Using Open Source Frameworks (Annex A, April 2026) establishes that for government-specific operational systems - including workflow automation, case management, and decision tracking - open source frameworks are the default standard. A proprietary platform can only be adopted where a documented case demonstrates that no viable open source alternative exists, and only with Acting Secretary written approval before any work proceeds. The burden of proof lies with the commercial option - not with open source.

Annex A Criterion	M-Files Result	Assessment
Open source default: has a documented case been made that no viable open source alternative exists?	NOT MET	No such case has been presented. Open source DMS alternatives (Alfresco Community Edition, Mayan EDMS, OpenKM, Nextcloud) exist and have not been assessed. The Annex A burden of proof has not been met for any proposed use case.
Data sovereignty: will PSC data remain on DCDT-managed infrastructure within Vanuatu?	NOT BY DEFAULT	M-Files is cloud-hosted on Microsoft Azure by default. PSC compliance records, Commission decisions, and HR data would sit on foreign commercial infrastructure. On-premise deployment is possible but adds cost and complexity.
Vendor dependency: does the platform create structural dependency on a foreign commercial vendor?	YES	Annual subscription fees payable in advance. If PSC stops paying, access stops. Custom workflows built by DocSmart create additional dependency - modifying them requires re-engaging the consultant at VT 114,956/day. This is exactly the structural dependency Annex A prohibits for government-specific operational systems.

Acting Secretary approval: has written approval been sought for a proprietary platform?	NOT OBTAINED	Under IPDU-SOP-001 Section 5 Step 2, Acting Secretary written approval is required before proceeding with a proprietary platform for a government-specific operational system. This has not been obtained. The email from Jack Philip does not constitute this approval.
Fitness for purpose: does M-Files model PSC's statutory workflows accurately in its default configuration?	PARTIAL	For Records and Archives DMS - yes, M-Files' default features match this use case. For Commission Decision App and Compliance CMS - no. These require significant consultant-built custom configuration to approximate the statutory workflows, with no guarantee of accuracy or maintainability.

Annex A conclusion: M-Files does not currently meet the burden of proof required for adoption as a government-specific operational system under IPDU's endorsed technology position. For the Records and Archives DMS use case specifically, a formal assessment including open source alternatives may ultimately support a case for M-Files - but that assessment has not yet been conducted.

6. Open Source Alternatives for Records and Archives DMS

The following open source DMS platforms are viable candidates for a PSC Records and Archives system. They are listed here to demonstrate that the Annex A open-source-first requirement is substantive - not theoretical. A full comparative assessment would be conducted as part of a formal IPDU Technology Assessment under SOP-001 Step 2.

Platform	Licence	Best For	Relevance to PSC
Alfresco Community Edition	Apache 2.0 (free)	Enterprise DMS, records management, workflow, OCR, metadata. Java/PostgreSQL stack.	Strong candidate for Records & Archives DMS. Metadata-driven filing, full-text search, audit trails, retention schedules. Used in government environments globally. Requires technical deployment expertise.
Mayan EDMS	GPL-3.0 (free)	Document scanning, OCR, automated metadata extraction, workflow. Python/Django stack.	Best open-source option for a scanning-heavy digitisation use case. Django backend means IPDU can maintain and extend it directly - consistent with IPDU's preferred stack.
Nextcloud + Flow	AGPL-3.0 (free)	File storage, sharing, collaboration, workflow automation. Self-hosted.	More appropriate as a file sharing and collaboration layer than a formal DMS. Used in Pacific Island government deployments. Not a direct M-Files replacement for formal records management.
OpenKM Community	GPL-2.0 (free)	Document management, version control, workflow, metadata, audit trails.	Capable DMS with workflow automation. Less complex than Alfresco but simpler to deploy. Worth including in a formal DMS Technology Assessment under SOP-001.

Django + custom build	MIT (free)	Purpose-built to exact statutory requirements. Full control over data model, workflow, and UI.	Already IPDU's approach for Commission Decision App and CCMS. Confirms the open-source build-from-scratch model is viable and sustainable for PSC operational systems.
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Key finding: viable open source DMS alternatives exist and have not been assessed. The Annex A burden - demonstrating that no viable open source alternative exists - has not been met for any M-Files use case proposed in Jack Philip's email.

7. Recommendation on the Proposed Presentation

IPDU supports holding a formal presentation from the MoLNR ICT Team or DocSmart Solutions, limited strictly to M-Files' core document management and filing capabilities. Workflow automation, case management, cross-agency workflow, and HR modules are out of scope for this presentation and should not be demonstrated or discussed.

The scope of the presentation is limited to the following core DMS filing capabilities only:

- Document capture - scanning, uploading, and email ingestion of physical and digital records
- OCR - optical character recognition making scanned documents fully text-searchable
- Metadata tagging - classifying documents by type, title, reference number, date, author, and other relevant fields
- AI-assisted metadata extraction - M-Files Aino automatically suggesting metadata based on document content
- Search and retrieval - finding documents by metadata, full-text content, or document relationships
- Version control - tracking document changes and maintaining a complete version history
- Role-based access control - automated permissions ensuring staff access only records appropriate to their role
- Retention schedules - automated document lifecycle management and disposal rules
- Audit trail - immutable log of who accessed, created, or modified each document and when

The presentation will serve a dual purpose. First, it will inform IPDU's formal Annex A Technology Assessment for the Records and Archives DMS use case - providing direct evidence of M-Files' default feature set and its fit for PSC's specific records environment. Second, regardless of which technology direction PSC ultimately adopts, the presentation will help IPDU identify the full feature set required for a government records DMS. These core filing features are replicable using open source frameworks, and the presentation will directly inform the Concept Note should IPDU proceed with an open source build.

IPDU requests to attend as the technical assessor. The presentation should be framed as a discovery input - not a decision-making event. No commitment should be signalled to MoLNR, DocSmart, or Jack Philip at or after the presentation. The following practical questions should also be addressed during the session:

- Hosting options: cloud vs on-premise, and what a sovereign Vanuatu on-premise deployment would require from DCDT
- Licensing cost structure for PSC's anticipated Records and Archives user count only
- Data sovereignty: where PSC records data physically sits under each deployment option
- MoLNR's experience: what worked with default features, what required customisation, and what ongoing operational costs look like after go-live

8. Summary Recommendations

#	Recommendation	Rationale
1	Invite MoLNR ICT Team or DocSmart to present to PSC Management and IPDU	IPDU should attend as technical assessor. The presentation allows structured evaluation - particularly for Records and Archives. This is due diligence, not endorsement. See Section 7 for suggested agenda.
2	Conduct a formal Annex A Technology Assessment for the Records & Archives DMS use case only	IPDU will assess M-Files against open source alternatives under IPDU-SOP-001 Step 2. If M-Files is the strongest option, a documented case for Acting Secretary approval will be prepared.
3	Commission Decision App proceeds on current trajectory	Gate 1 approved. Concept Note in preparation. No Annex A exemption case exists for M-Files in this use case. Redirecting requires Acting Secretary approval and a restart of the SOP-001 process.
4	Compliance Case Management System proceeds on current trajectory	Need Assessment Brief and Technology Assessment Note complete. Same Annex A position. M-Files is not the right tool for multi-family statutory case management without prohibitively expensive customisation.
5	No commitment to M-Files pending completion of the Annex A assessment	Management should not signal approval to MoLNR, DocSmart, or the HRMIS Unit for any M-Files adoption until IPDU has completed the formal assessment process required under IPDU-SOP-001 and Annex A.

Prepared by the Innovation and Policy Development Unit

Office of the Public Service Commission

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